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NAVANEET KAR
PRESIDENT & HEAD, INDIA SALES,
TATA CONSUMER PRODUCTS



"Discretionary spending was cut... We were expecting [to] be out of the inflationary cycle and that consumer spending [would make a comeback] in 2023. But that has not happened."

KAMAL NANDI
BUSINESS HEAD & EXECUTIVE VICE
PRESIDENT, GODREJ APPLIANCES

One factor that has affected rural incomes, say experts, is the steady cut in expenditure on programmes like the Mahatma Gandhi National Rural Employment Guarantee Scheme (MGNREGS) that guarantees 100 days of manual work for rural households per year. From ₹1.11 lakh crore in FY21, the Union government cut its spending on the flagship scheme to ₹89,000 crore in FY23. In the Budget for FY24, it has been reduced further to ₹60,000 crore—nearly 46 per cent lower than the FY21 levels.

SPEED BUMPS AHEAD

Most companies had anticipated a revival in FY24. But their hopes are fading.

HUL is now cautiously optimistic, as volatility remains a key concern. In the June quarter of FY24, it reported a meagre 3 per cent growth in volumes on a low base—the lowest since the June 2022 quarter. It failed to meet analysts' expectations of 5 per cent volume growth, 13-16 per cent growth in net profit, and 8-9 per cent growth in its top line. While it reported a 7 per cent rise in net profit, its sales grew by 6 per cent.

Dabur India's performance, in contrast, was more resilient. Backed by strong volume growth, Dabur reported an 11 per cent jump in its operating revenue to ₹3,130 crore. The company's volumes grew by a hand-

some 8 per cent in the rural market and 10 per cent in the urban areas. According to Mohit Malhotra, CEO of Dabur India, while unpredictable rains due to climate change looms large, better showing of crops in the upcoming winter season will help in demand recovery.

Meanwhile, Mumbai-based Marico Ltd reported a 3 per cent decline in its operating revenue to ₹2,477 crore due to a 5 per cent fall in domestic sales as edible oil prices crashed. This, despite a 3 per cent rise in its volume offtake during the June quarter. According to Saugata Gupta, MD & CEO of Marico, in the June quarter while volume growth for the FMCG sector was in positive territory, "evident green shoots in the rural (market) were not yet visible", he said in a post-earnings call. Factors such as retail inflation dropping to sub-5 per cent levels, late pickup in monsoons, hike in the minimum support price (MSP) of kharif crop and higher government spending continue to give hopes of a gradual recovery in rural sentiment, "although the extent of impact of spatial distribution of rainfall and erratic weather patterns on rural farm incomes may also have a bearing on sentiment in the near-term", he added.

Another leading FMCG player, Tata Consumer Products (TCPL), sees no significant change in the consumer economy. "There is no big change in the demand scenario. I would love to see [a change] but I don't. All industry stakeholders are cautious. At best, they are saying it's status quo, while many are recording even worse [demand trends]. Rather, the stress (observed in rural consumption) is now spreading to urban markets. I would rather keep my fingers crossed," says Navaneet Kar, President and Head of India Sales at TCPL.

His views were echoed by Rohit Jawa, the newly appointed MD and CEO of HUL. "FMCG markets are recovering gradually, although the operating environment remains challenging. In the near term, the FMCG industry will continue to witness a rebalancing of the price-volume growth equation and a gradual recovery in consumer demand," he says. Shah from Parle says that with wheat production in the Rabi season touching a record, companies will soon start passing on the benefits to consumers.

But challenges remain. "While headline inflation is mostly under control, food inflation will continue to wobble for a while due to multiple factors, including climate-related issues," says Nestlé India's Narayanan.

The consumer economy has missed its first quarter recovery target, and people like Superplastronics' Marwah feel the chances of a recovery even in the festive season are slim. **BT**

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